



## Annual Report Analysis FY2021-22

### New Products/Improvements/Expansions

- **Launches:** 1 new product in Herbicides and Fungicides group as well as 4 new products in Insecticides group in FY22
- **Expansion for Sumitomo Japan:** Proprietary technical grade active ingredients product  
**Timeline:** 1<sup>st</sup> project – expect commercialization in FY23  
2<sup>nd</sup> Project – expect commercialization in FY24
- Completed feasibility study for introducing 3 new technical grade products

### Product Profile

Present in all the product segments insecticides, weedicides, fungicides, fumigants and rodenticides, plant growth nutrition products, biorationals and plant growth regulators.

### Sales break up for agro solution business (FY22):

- Insecticides – 47%
- Herbicides – 22%
- Plant growth regulators – 10%
- Fungicides – 11%
- Metal phosphides – 10%

### Segment Breakup (FY22):

- Generic: 70%
- Speciality: 30%

### Bulk & Branded (FY22):

- **Domestic**
  - Bulk: 21%
  - Branded: 79%
- **Exports**
  - Bulk: 76%
  - Branded: 24%

### Key Products

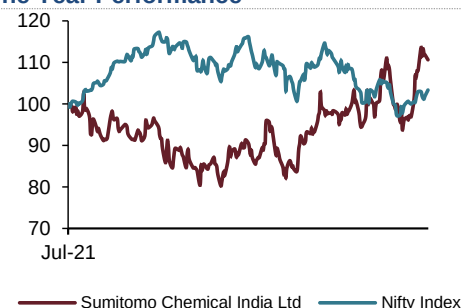
- Glyphosate (Herbicide)
- Profenophos (Insecticide)
- Dantotsu (Insecticide)
- Tebuconazole (Fungicide)
- Progibb (Plant growth regulator)

Rating TP (Rs) Up/Dn (%)  
**NOT RATED**

#### Market data

|                      |           |                    |
|----------------------|-----------|--------------------|
| <b>Current price</b> | <b>Rs</b> | <b>483</b>         |
| Market Cap (Rs.Bn)   | (Rs Bn)   | 241                |
| Market Cap (US\$ Mn) | (US\$ Mn) | 3,016              |
| Face Value           | Rs        | 10                 |
| 52 Weeks High/Low    | Rs        | 511.9 / 341.2      |
| Average Daily Volume | ('000)    | 208                |
| BSE Code             |           | 542920             |
| <b>Bloomberg</b>     |           | <b>SUMICHEM.IN</b> |
| Source: Bloomberg    |           |                    |

#### One Year Performance



Source: Bloomberg

| % Shareholding | Jun-22     | Mar-22     |
|----------------|------------|------------|
| Promoters      | 75.0       | 75.0       |
| Public         | 25.0       | 25.0       |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: Bloomberg

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## Industry Outlook

- Agriculture sector contributes **18% of country's GDP**
- India is the **4th largest producer** of agrochemicals in the world after USA, Japan and China.
- The Indian agrochemicals industry was valued at around USD **5.72 billion (~Rs.43,000 crs)** in the financial year 202021, almost equally accounted for by domestic consumption (approximately USD 2.72 billion) and exports (approximately USD 3.00 billion). Expected to grow at a CAGR of 8-10% till 2025.
- India is the **5th largest exporter** of agrochemicals
- Consumption of agrochemicals in India is very low (**0.6 kg/ha**) as compared to agriculturally advanced countries like as China (13.1 kg/ ha), Japan (11.8 kg/ ha), Brazil (6kg/ha) and USA (2.5 kg/ ha) (ha = hector)
- China + 1 Procurement model along with continued healthy demand from Brazil and the US (accounting for about 45% of India's exports) and increasing supplies to Europe (accounting for about 15% of Indian exports), is expected to lead to exports growing at 15 per cent this fiscal and 1213 per cent in the next year.
- Higher area under cultivation and increase in minimum support prices for key crops such as paddy, cotton, groundnut, soybean and bajra, which account for about two thirds of the domestic crop production, should further boost agrochemicals sector.
- The government is expected to bring a production linked incentive scheme for promotion of the domestic manufacturing of agrochemicals.
- Indian farmer loses around 2025% of the production to pests and diseases.
- Indian agrochemical industry's dependence on China for sourcing critical raw materials and intermediates is an area of concern.
- Due to higher cost inventory and slower receivables, the industry's working capital remained stretched (**Sumitomo's Net Working Capital Days: FY22 - 133 days vs FY21 - 104 days**)
- **Going Forward:**
  - IMD and Skymet have predicted India's fourth consecutive normal monsoon
  - Good rabi season, higher crop realizations, good water reservoir levels and monsoon forecast - Farmers sentiment appears to be positive

## Employees

- Permanent: 1,696
- Contractual: 3,717

## Risks & Concerns

- Complexity of rural marketing
- MSP realization
- Farmer support policy implementation
- Low land holding
- Lack of irrigation facility

## Key Ratios

RoNW: FY21: 25.24%  
FY22: 25.13%

## Geographical Breakup

- India/Domestic: 78%
- Exports: 22%

## Capex Plan:

- Maintenance Capex: Rs7075 crs p.a
- Additional Capex: Rs120 crs over 2 years for 5 products (5 products have been approved in principle for supply to SCC Japan)
- Revenue potential of these 5 products on the above capex is Rs. 200250 crs p.a.
- Estimated margins are in line with current margins earned by SCIL for similar projects (1820% EBITDA Margin)
- Commercial production is expected to start in Q1FY2223 for one product & during Q1FY24 for second project involving multiple products

## Other Key Data & Metrics

- Grown 13x over FY1122 (On an organic basis, grown 6x+)
- 5 Manufacturing Facilities
- 14 Technical Actives
- 40,000+ dealers
- 16,000+ direct distributors & 60+ depots
- 4.4 Mn+ Farmers connected
- ~600 Sales Team
- 25+ patents & 200+ registrations
- R&D Expenses as a % of sales: 0.4%
- Crossed Rs.3,000 cr sales mark in FY22
- Cash + Liquid Investments = Rs.599 crs as on 31st March 2022

## Simplifying Concepts

### Kharif Season:

- In India, the season is popularly considered to start in June and end in October. Kharif crops are typically sown at the beginning of the first monsoon rains.
- Harvesting season begins from the 3rd week of September to October.
- **Examples of Kharif crops:**  
Rice, Maize, Sorghum, Bajra, Soybean, Cotton

### Rabi Season:

- They are grown in October or November. These crops require frequent irrigation. These are the crops that are sown at the beginning of the winter season.
- The crops are then harvested in spring.
- **Examples of Rabi crops:**  
Wheat, Barley, Oats, Pulses, Mustard, Linseed

## Where is Sumitomo India placed in agrochemical universe?

- The Indian agrochemicals industry is highly diverse. It has players who are small and medium dealing in generic off patent molecules.
- It has players who are large multinationals with high priced new generation and patented molecules.
- The industry has players who manufacture only technical grade pesticides. Some players are pure formulators.
- The industry also has some players who produce both – technical grade pesticides and formulations.
- There is an ancillary segment which manufactures intermediates for technical grade pesticides.
- Sumitomo is one of the leading players in the industry which has a balanced portfolio of technical as well as formulation products along with backward integration for some products.

## About Parent Company: Sumitomo Chemical Company Limited, Japan (SCC)

- Sumitomo started business in Japan in early 16th Century (400 years+)
- SCC was founded in 1913 and undertakes several chemical related businesses as an independent listed company
- SCC is a leading Japanese research driven diversified chemical company listed on the Tokyo Stock Exchange with consolidated sales revenue of more than US\$ 22.5 bn (Health & Crop Sciences Sector – Revenue of more than US\$ 3.8 bn)
- SCC holds 12,600+ Patents of which ~34% are in Health & Crop Science
- Strong pipeline of AgroSolutions and Environmental Health products with very high business potential of ~US\$1.4 \$1.8 bn
- SCC recently acquired Nufram's distribution in Latin America thereby gaining leadership position in Latin America Generics Market Segment

## About Sumitomo Chemical India Limited (SCIL)

- SCIL is known for domestic marketing of proprietary products of its Japanese parent – Sumitomo Chemical Company, Limited in agrochemicals, animal nutrition and environment health business segments.
- SCIL has presence in all the product segments insecticides, weedicides, fungicides, fumigants and rodenticides, plant growth nutrition products, biorationals and plant growth regulators.
- SCIL is also one of the few industry players having both chemical and biological products in its portfolio. SCIL has strong portfolio of generics as well as specialty products and a strong marketing network and counts as a leading Indian crop protection company.
- SCIL is the only Technical Grade manufacturing site outside Japan

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## Director Remuneration

- Chetan Shah (Managing Director): Rs.72.03 Mn
- Sushil Marfatia (Executive Director): Rs.23.84 Mn

## Auditors

- Statutory Auditors: M/s. SRBC & CO LLP (Part of Ernst & Young,India)
- Audit Fees: Rs.6.36 Mn

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